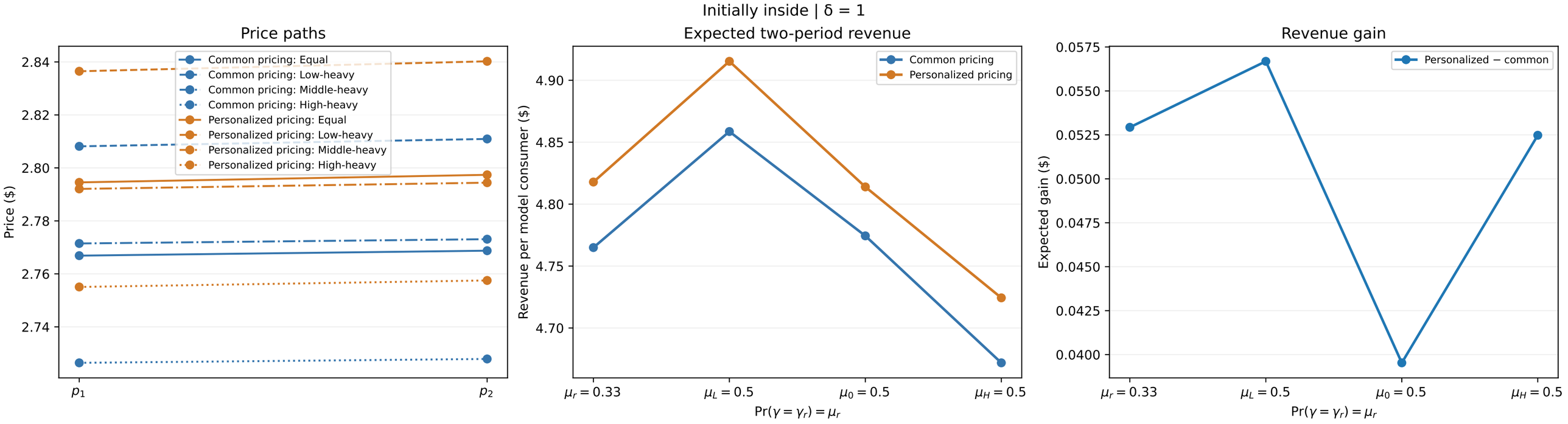
Initially inside | δ = 1
Price paths
Price ($)
2.84
2.82
2.80
2.78
2.76
2.74
p_1
p_2
Common pricing: Equal
Common pricing: Low-heavy
Common pricing: Middle-heavy
Common pricing: High-heavy
Personalized pricing: Equal
Personalized pricing: Low-heavy
Personalized pricing: Middle-heavy
Personalized pricing: High-heavy
Expected two-period revenue
Revenue per model consumer ($)
4.90
4.85
4.80
4.75
4.70
Common pricing
Personalized pricing
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Expected gain ($)
0.0575
0.0550
0.0525
0.0500
0.0475
0.0450
0.0425
0.0400
Personalized − common
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$